AirBus Corporate Strategy

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Outline

MACRO STRAT

- INTRODUCTION
- SCOPE (MARKET SITUATION VS COMPETITORS)
- SWOT
- OPPORTUNITIES / RISKS

MICRO STRAT

- INTRODUCTION
- OPPORTUNITIES & RISKS
- TIMELINE
- EXPECTED ROI

Introduction

Airbus holds 69% of global aircraft deliveries in 2024 its widest lead over Boeing in two decades.

The Chinese market accounts for ~20% of global aviation demand and COMAC is closing the door on Airbus one domestic order at a time.

Airbus's single greatest risk is not a competitor it is its own inability to control its supply chain, engines, and delivery cadence.

Can Airbus scale production to 75+ aircraft per month without its supply chain breaking again?

Is Airbus's ZEROe hydrogen program a genuine competitive advantage, or a PR commitment it cannot meet by 2035?

Macro

Airbus is shaping wings, but it is the winds of the economy that decide their take-off.

SWOT

Strengths

- Duopoly market position – Airbus & Boeing
- Diversified product portfolio –Civilian, military, helicopters, and space & defence divisions
- Strong order backlog
- Manufacturing & supply chain efficiency
- Fuel efficiency leadership
- European institutional backing
- Innovation & R&D

Weaknesses

- Overdependence on commercial aviation
- Production delays & delivery shortfalls
- High fixed cost base - EU workforce
- Currency exposure
- Labour relations complexity

Opportunities

- Air travel growth in Asia-Pacific & Middle East
- Fleet renewal wave
- Boeing's ongoing struggles
- Hydrogen & green aviation
- Defence & space growth – Post Ukraine Urban Air Mobility (UAM)

Threats

- Boeing recovery
- Geopolitical tensions, trade disputes
- China's COMAC
- Fuel price & economic volatility
- Regulatory & certification risk
- Talent & skills shortage
- Climate regulation pressure – EU emission rules

OPPORTUNITIES

🌍 Opportunity 1 — Increased Global Military Build-Up

Structural increase in defence budgets post-Ukraine
European rearmament and NATO capability upgrades
Long-term US force projection in Middle East
Rising demand for military aircraft and ISR systems
Growth in drones, space and defence tech integration
Stronger political support for domestic defence champions
Multi-year procurement programs ensure revenue visibility

✈️ Opportunity 2 — Competitive Opening from Boeing's Struggles

Airlines prioritizing delivery reliability → Airbus seen as safer supplier
Talent migration opportunities from Boeing to Airbus
Investor confidence shift toward Airbus stability

RISKS

Geopolitics

🇮🇷 Iran & Middle East Tensions
Risk of escalation around Strait of Hormuz
Oil price spikes → higher jet fuel costs
Airspace disruptions in Middle East

🇻🇪 Venezuela Instability
Uncertain global oil supply
Sanctions unpredictability
Energy market volatility

🛢️ Oil Price Volatility
Airline profitability highly fuel-dependent
High oil → reduced margins → deferred aircraft orders
Inflationary pressure on global demand
Financing conditions tighten for airlines

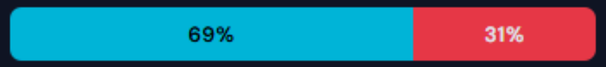
AIRBUS — COMPETITIVE POSITIONING

COMMERCIAL AVIATION MARKET · 2025

STRATEGIC POSITIONING MAP · CAPACITY VS. RANGE

ORDER BACKLOG MARKET SHARE

Airbus 69% | Boeing 31%



2024 deliveries share

Airbus 2024 Deliveries	766 ✈
Boeing 2024 Deliveries	348 ↓33%
Airbus Backlog (2025)	~8,658 aircraft
Boeing Backlog (2025)	~5,987 aircraft
Airbus 2025 Target	820 aircraft
Projected Share by 2030	Airbus 58% / Boeing 39% / COMAC 3%

COMPETITORS

Airbus	LEADER
Boeing	RECOVERING
COMAC	RISING
Aeroflot / UAC	ISOLATED

Strategic Scope Matrix · Aerospace & Defence Industry

Porter's Generic Strategies

	BROAD MARKET	NICHE / FOCUSED MARKET
	COST LEADERSHIP Broad market, lowest cost COMAC 中国商飞 EMBRAER	**DIFFERENTIATION** Broad market, unique value BOEING AIRBUS
	COST FOCUS Niche market, lowest cost AERO Russi	**DIFFERENTIATION FOCUS** Niche, specialised value

◄ COST ADVANTAGE — COMPETITIVE ADVANTAGE — UNIQUENESS ►

- Cost Leadership — high volume, standardised, price-competitive
- Differentiation — premium features, technology, brand
- Cost Focus — low-cost within a narrow segment
- Differentiation Focus — specialist, high-value niche

SUMMARY RADAR:

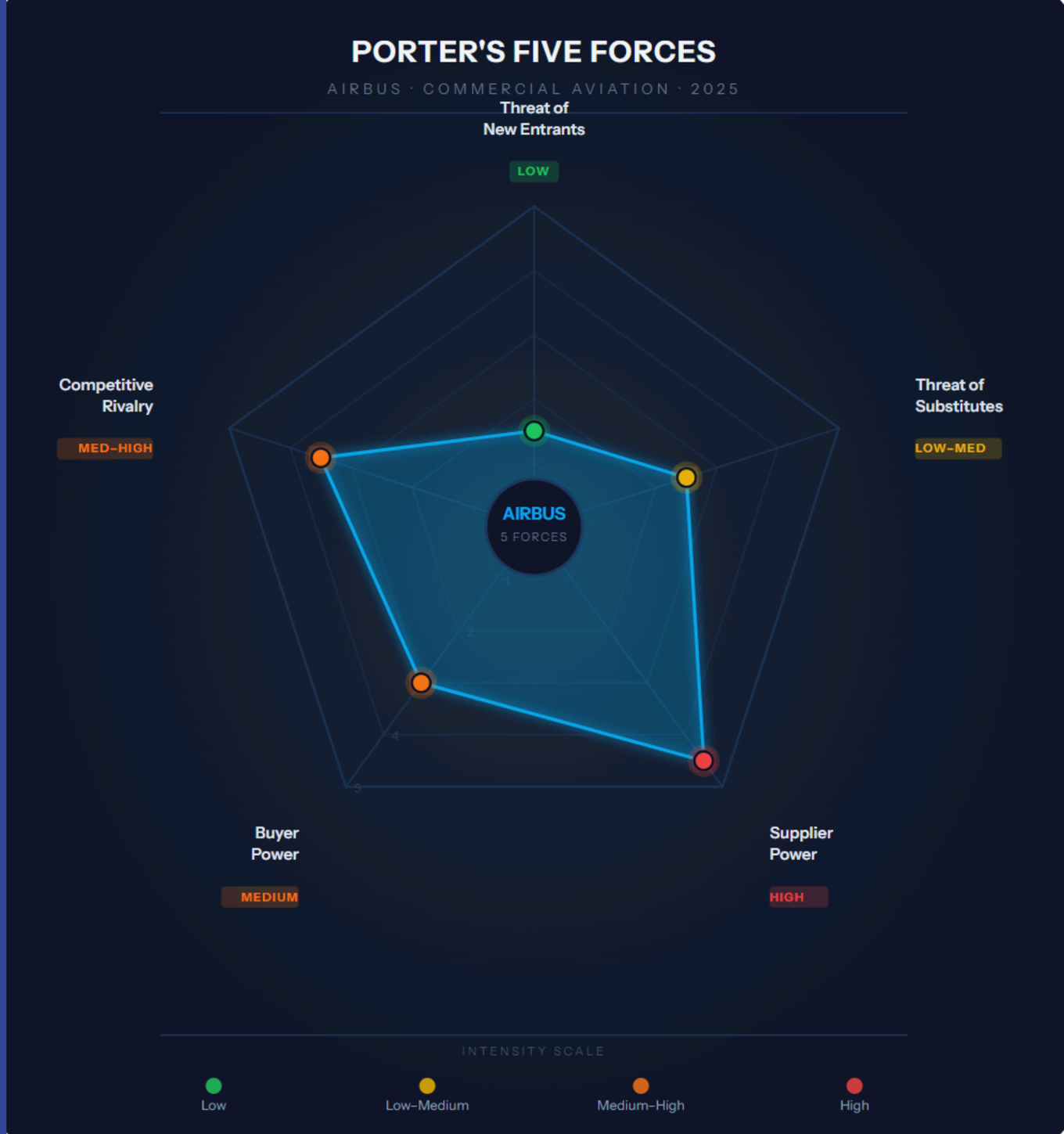
ForceIntensityTrendNew Entrants🟢 Low

StableSubstitutes🟡 Low to Medium

StableSupplier Power🔴 High↑

IncreasingBuyer Power🟡 Medium

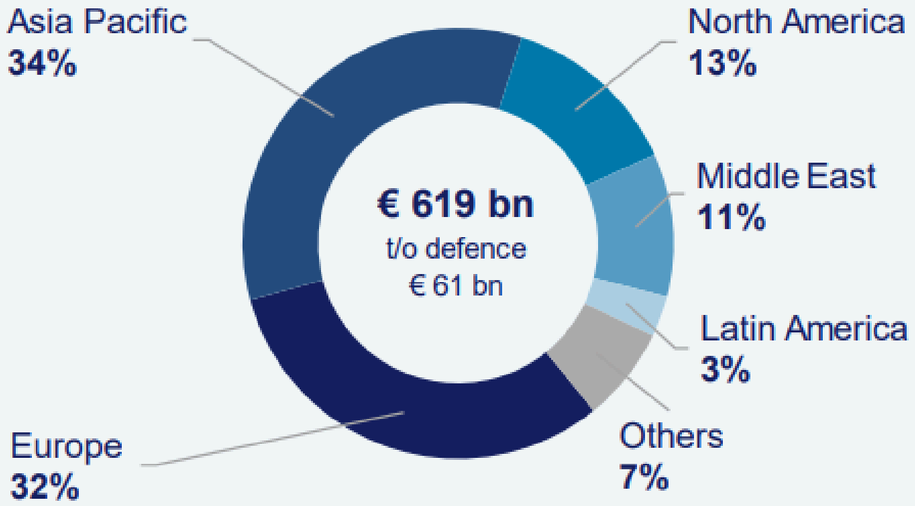
StableRivalry🟠 Medium to High↑ & Increasing



IN € MILLION	Q4 2025	Q4 2024
	Revenues	
Airbus	18,691	17,767
Helicopters	3,320	3,066
Defence and Space	4,529	4,473
Eliminations	(556)	(590)
Consolidated Airbus	**25,984**	**24,716**

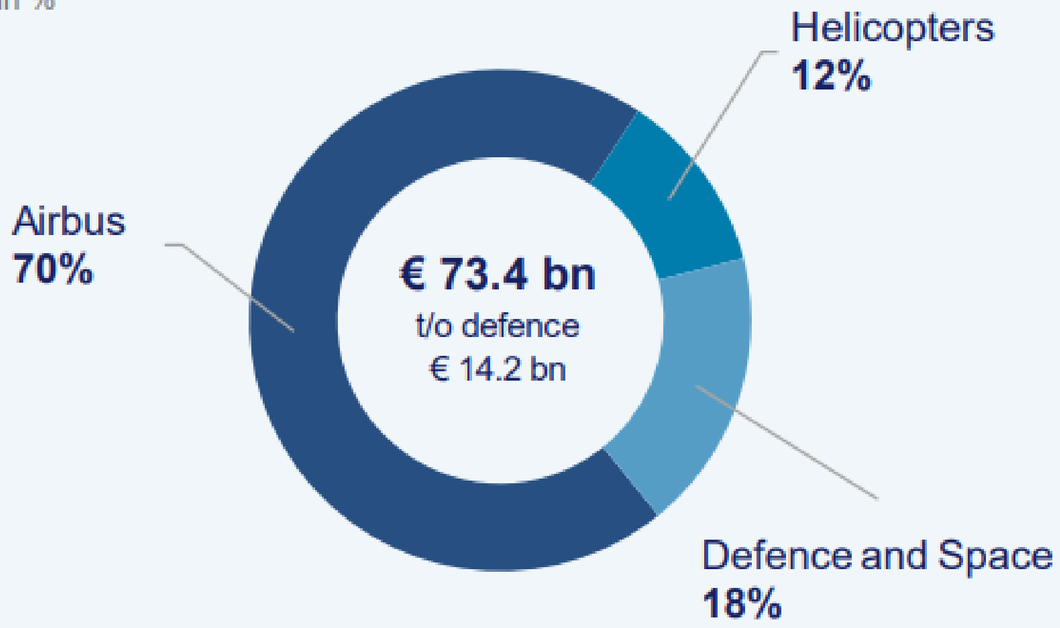
Consolidated Airbus

Order Book in value by Region



Revenues by Division [1]

in %



Balance Sheet Highlights: Assets

IN € MILLION	Dec. 2025	Dec. 2024
Non-current Assets	**61,292**	**59,781**
of which Intangible & Goodwill	16,847	17,179
of which Property, plant & equipment	20,893	19,112
of which Investments & other long-term financial assets	7,830	7,510
of which Contract assets	17	61
of which Positive hedge mark-to-market	1,050	670
of which Non-current securities	9,997	9,032
Current Assets	**73,584**	**69,371**
of which Inventory	41,676	37,745
of which Contract assets	1,639	1,474
of which Cash and cash equivalents	14,128	15,003
of which Current securities	3,093	2,829
of which Positive hedge mark-to-market	771	395
Assets of disposal groups classified as held for sale	**63**	**61**
Total Assets	**134,939**	**129,213**
Closing rate € vs. $	1.18	1.04

Micro

Airbus builds the wings, yet it is cost discipline, innovation, and rivalry that decide how far they fly.

Smart Ai driven factory

Problematic:

- The A320neo programme must reach 75 aircraft/month by 2026, up from around 50 today
- Current manufacturing infrastructure was not designed for this scale or speed

Core problems:

① Production is too slow & too fragile

② Costs are structurally too high

③ The competitive window is closing

→ COMAC 150 planes a year target

Opportunities

- **Faster Production Ramp-Up:**
- Support A320neo delivery targets and reduce bottlenecks.
- **Margin Improvement:**
- AI-based quality control and predictive maintenance reduce defects and rework costs.
- **Long-Term Cost Leadership:**
- Structural productivity gains vs competitors (notably Boeing).

Risks

- **High Initial CAPEX:**
- Significant investment in digital infrastructure and integration.
- **Execution Complexity:**
- Multi-country production network increases coordination challenges.
- **Workforce Transformation Risk:**
- Need for upskilling and managing potential resistance.

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AI-Driven Smart Factory — Integrated Project Timeline

4-Year Roadmap · Q1 2025 → Q4 2028

TRACK / YEAR	2025				2026				2027				2028			
	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
					NOW											
⚖️ **Regulatory & Compliance** EASA · EU AI Act · NIS2	EASA & EU AI Act Scoping							Cybersecurity & NIS2 Certification					Ongoing Audi…			
🤖 **Technology & AI Systems** Infrastructure · Models · Deployment	Digital Twin & Cloud Infrastr…					AI Pilots — Quality & Mainte…				Full Deployment & Scaling						
🏭 **Production & Operations** Assembly · Supply Chain · Ramp-up	IoT Rollout & Baseline Asse…					AI-Assisted Pilot Pro…				Multi-Site Rollout & Full Rate						
👥 **People & Organisation** Change Management · Upskilling · Governance		Change Management…				Digital Skills Academy							Centre of Excellence			

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AI-Driven Smart Factory — Expected ROI

Illustrative financial projections 2025–2029 · All figures in €M

€1.2B
TOTAL INVESTMENT
2025–2027

€4.8B
CUMULATIVE BENEFIT
2025–2029

+300%
5-YEAR ROI
Net of CAPEX

Q3 2027
BREAKEVEN POINT
~2.5 years

+4.2pp
EBIT MARGIN UPLIFT
By 2029

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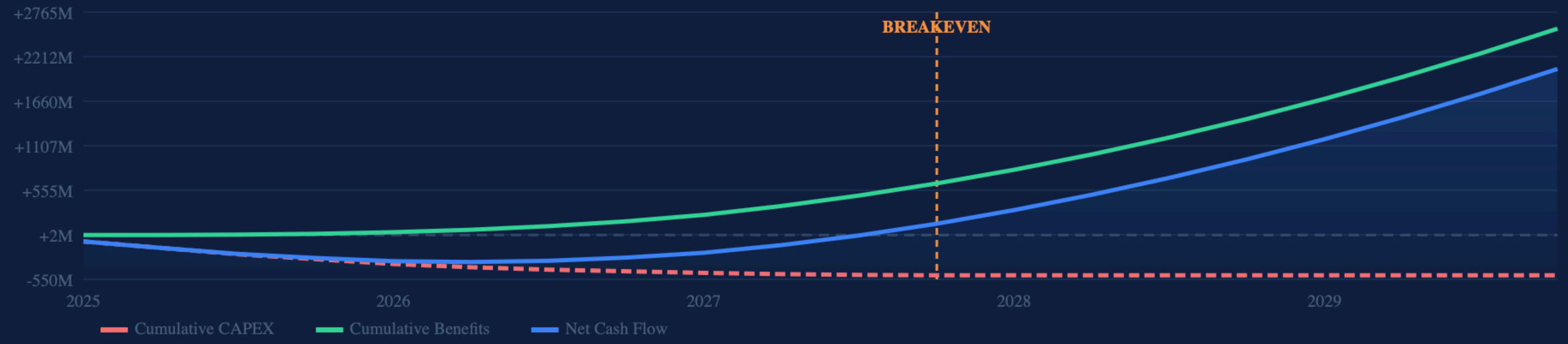
AI-Driven Smart Factory — Expected ROI

Illustrative financial projections 2025–2029 · All figures in €M

Cumulative Net Cash Flow — Investment vs. Returns

€M · Breakeven visible where returns cross investment line



Thank You